

BigBear.ai Holdings, Inc.

BBAI NYSE

Hold	\$3.96 ▼ 2.22%	12M Price Target \$4.50	52-Week Range \$3.01 – \$9.39	Market Cap \$1.90B
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BBAI: Panama Deal Pivots Commercial Mix; Reiterate Hold

WHAT'S CHANGED

- BBAI closed -2.22% at \$3.96, slipping back to the lower end of the recent \$3.96–\$4.14 range on still-elevated 27.8M shares — price now sits at just 15% of the 52-week range despite constructive Panama deal coverage.
- Near-term options flow skews decisively bullish (P/C 0.37, 14.2k calls vs 5.2k puts) with unusual July \$1.50 call activity at 4.1x OI — a sign of speculative upside positioning into summer catalysts.

IMPLICATIONS

The Panama foundational deal (Simply Wall St., Insider Monkey coverage) materially supports management's confidence in the 2026 outlook (Zacks 6/12) and reinforces a strategic narrative shift from concentrated DoD/IC exposure toward international commercial AI deployments — a higher-multiple end market. However, the stock's failure to break \$4.15 on the news suggests the market is discounting execution lag between announcement and revenue recognition, and CFO Ricker's continued small dispositions provide no offsetting insider conviction signal. With sector tape favoring Financials/Industrials over speculative AI, BBAI remains a story stock dependent on contract-flow catalysts rather than macro lift.

VALUATION

At \$1.90B market cap on ~\$195M FY26E revenue, BBAI trades at ~9.7x EV/Revenue — a premium to defense IT peers (3-5x) but a discount to pure-play AI comps (PLTR ~70x, AI ~10x). Our \$4.50 PT assumes ~10x FY27E revenue of \$245M discounted back, implying ~14% upside; bull case requires sustained 25%+ growth and EBITDA breakeven by FY27 to justify 12-14x multiple expansion. Multiple compression risk dominates if commercial bookings disappoint into 2H26.

KEY RISKS

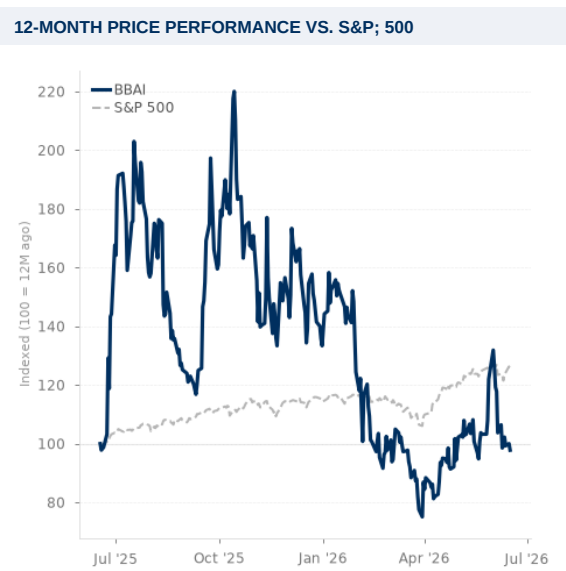
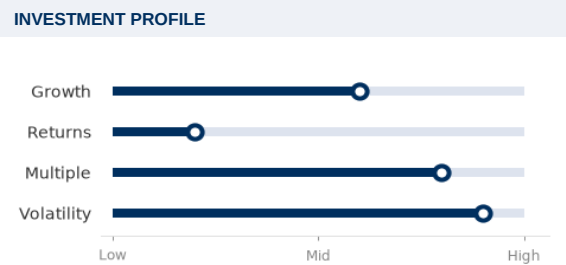
- Persistent negative FCF and history of equity issuance create meaningful dilution overhang at sub-\$5 share price.
- Customer concentration in U.S. federal (DoD, CBP, IC) leaves revenue vulnerable to budget continuing resolutions and procurement delays.
- Commercial pivot execution risk — Panama-style deals require longer sales cycles and have not yet demonstrated repeatable scaling.

RECENT NEWS

SoundHound Trades at a Premium to the Industry: How to Play the Stock? Zacks · 2026-06-16 16:10

Why BigBear.ai Is Staying Confident About Its 2026 Outlook Zacks · 2026-06-12 15:20

Key Data	
Price (USD)	\$3.96
12M Price Target	\$4.50
Upside / (Downside)	+13.6%
Market Cap	\$1.90B
FY2026E Revenue	\$195M
FY2027E Revenue	\$245M
FY2026E EPS	(\$0.42)
FY2027E EPS	(\$0.28)
Fwd P/E	N/M



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$4.80	\$4.10	\$3.40
6 Months	\$6.00	\$4.50	\$3.00
1 Year	\$7.50	\$5.00	\$2.75
2 Years	\$10.00	\$6.00	\$2.25
5 Years	\$18.00	\$9.00	\$1.50
10 Years	\$30.00	\$14.00	\$1.00

SECTOR INTELLIGENCE

HOT SECTORS: Financials, Materials

COLD SECTORS: Real Estate, Consumer Staples

ROTATION WATCH: Capital is rotating into cyclical (Financials +3.6% 5D, Materials +3.84% 5D) on rate-cut repricing and reflation positioning, leaving speculative small-cap AI names without sector tailwind. BBAI requires idiosyncratic catalysts to outperform in this tape.

BYPRODUCT PLAY: Sovereign AI infrastructure spending (Panama-style) creates secondary beneficiaries in geospatial analytics, edge compute, and biometric identification — themes that could lift BBAI alongside Palantir's commercial wedge and Kratos-type defense AI plays.

OUTPERFORMERS & PEER CONTEXT

- PLTR (Palantir): Continues to command premium AI/defense multiple (~70x sales) with consistent commercial ACV acceleration — the benchmark BBAI is measured against.
- SOUN (SoundHound AI): Zacks coverage flags premium-to-industry multiple with LivePerson \$500M opportunity narrative driving multiple expansion — demonstrates how vertical AI wins re-rate small-caps.

BBAI CONTEXT: BBAI is lagging the AI peer cohort — at 15% of 52-week range vs SOUN/PLTR trading near highs, relative performance signals investors are not yet rewarding the commercial pivot narrative. Catch-up trade requires concrete bookings disclosure, not just press releases.

INVESTMENT STRATEGY

5/10 Conviction Score

Position Size: 1-2% of portfolio

Entry Points: \$3.20-3.50 on pullbacks

Time Horizon: 12-18 months

Thesis Invalidation: Revenue miss >10%, loss of key DoD/CBP contract, or equity raise >15% dilution

Hedging: Pair long BBAI vs short PLTR or basket of richer-multiple AI defense names